

Generate collection letter in D365 F&O

A guide for setting up and managing collection letter in Dynamics 365 Finance and Operations

Introduction

A collection letter is a written request for payment sent to customer who owes money. It is a formal communication between the creditor and the debtor that informs the debtor of the outstanding debt and the consequences of not paying it.

In D365 F&O, these letters follow a set sequence and increase in urgency if payments are not made. This system assists collection agents in efficiently following up with customers with long overdue invoices.

Configuration of collection letter

- **Set up Collection letter parameter**

- Go to Credit and collections > Setup > Credit and collections parameters
- **Update Collection Letter code:** This option defines when the next collection letter should be created on posting or on printing of collection letter one.
- **Create Collection letter per:** Select Customer or Transaction as an option. It depends how business wants to generate collection letter per Invoice or Customer.

The screenshot shows the 'Credit and collections parameters' setup form in Dynamics 365 Finance and Operations. The breadcrumb trail is 'Credit and collections > Setup > Credit and collections parameters'. The left sidebar shows a navigation menu with 'Collections' selected. The main area is titled 'Set up options for collections and collection letters'. Under the 'Collection letter' section, there are four fields: 'Update collection letter code' with a dropdown menu showing 'Posting', 'Exclude disputed transactions from fe...' with a toggle switch set to 'Yes', 'Ignore payments and credit memos fo...' with a toggle switch set to 'No', and 'Create collection letter per' with a dropdown menu showing 'Transaction'. The 'Update collection letter code' and 'Create collection letter per' dropdowns are highlighted with red boxes.

- **Set up collection letter sequence**

- Collection Letter Sequence is setting up the order to send the reminders. It is on the collection letter sequence form where we can define the parameters of how many collection letters need to be created, when should a collection letter be sent, collection fees/charges that need to be levied and terms of payment linked to it, etc.
- Go to Credit and collections > Collection letter > Set up collection letter sequence.
- Click New to create new collection letter sequence.
- Enter sequence ID and description.

- In Overview section click on Add button and select the code for the first collection letter that you want to send. The first collection letter is created according to the due date on the invoice, the value that you enter for the grace period in the Days field on this line, and other information that you enter on this line.
- The default currency for the fee is the currency of the legal entity. This currency code can be different than the invoice currency. You must set up a collection letter sequence for every currency that you want to create a collection letter. Collection letters are automatically created for transactions in the currencies that are specified in a collection letter sequence, even if no fee is specified.
- In the Main account field, select the revenue account that will be used for fees.
- Enter the fee that will be charged when this collection letter is posted.
- In the Item sales tax group field, click the drop-down button to open the lookup. Select an item sales tax group if sales taxes must be calculated on the fee.
- In the Minimum overdue balance field, enter the minimum overdue balance required before a collection letter is sent.
- In the Days field, enter the number of grace days that you will allow. This is the number of days after the due date that a collection letter can be generated.
- Select the Block check box to stop the customer from additional deliveries and invoicing.
- Follow above steps to add other collection letter codes.
- Expand the Note fast Tab.
- Enter the text to appear on the collection letter for the selected collection letter code. You can translate this text into multiple languages using the Translations menu above the note box.

The screenshot displays the 'Set up collection letter sequence' form. The 'Collection letters' section contains a table with the following data:

Collection letter code	Description	Currency	Main account	Fee in currency	Item sales tax group	Min
Collection letter 1	First notification	USD	403150	0.00		
Collection letter 2	Second notification with fee	USD	403150	20.00		
Collection letter 3	Third notification with fee	USD	403150	30.00		
Collection	Final notification with fee	USD	403150	50.00		

Below the table is a 'Note' section with a 'Translations' button and a text area for the note.

- **Define collection letter sequence on the posting profile**
 - Go to Account receivables > AR > Set up > Customer posting profile

Finance and Operations

Accounts receivable > Setup > Customer posting profiles

USMF

Standard view

Customer posting profiles

Posting profile: GEN Description: General profile

Setup

+ Add Remove

Account code	Account/Group number
Group	30
Group	90
All	

Account code: Group Account/Group number: 30

Summary account: 130100 Liabilities for discount account:

Liquidity account for payments:

Sales tax prepayments:

Collection letter sequence: **High**

Interest code: 1M-3%

Table restrictions

Processing of Collection letter

- Go to Credit and Collections> Collection letter > Create collection letters.
- Define criteria and click Ok button.

Creation of collection letter

Parameters

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Billing classification

▼

Interest

☐ No

Include transactions without a billing ...

☒ Yes

Invoice

☒ Yes

Credit note

☐ No

Payment

☐ No

Collection letter

Collection letter 1

▼

Collection letter date

10/14/2024

📅

Use posting profile from

Account

▼

Posting profile

GEN

▼

Records to include

▼

Run in the background

▼

OK

Cancel

- Base on criteria define system will generate collection letter and To review and process collection letter go to Credit and Collections module > Collection Letter > Review and Process Collection Letters.
- Based on review user can Post, send and Cancel collection letter.

Finance and Operations

Credit and collections > Collection letter > Review and process collection letters

USMF

← Edit Voucher Cancel Post Print Send Options

Personalize
Always open for editing
Personalize this page
Add to workspace

Page options
Security diagnostics
Advanced filter or sort
Record info
Go to

Share
Get a link
Create a custom alert
Manage my alerts

Power Automate
See your flows
Create a flow

Review and process collection letters

Standard view

Filter Status All Printed All

Collection ...	Date	Collection letter code	Customer account	Name	Status	Billing classification	Printed
000151	5/5/2024	Collection letter 1	US-024	Yellow Square	Created		No
000152	5/5/2024	Collection letter 1	US-025	Oak Company	Created		No
000153	5/5/2024	Collection letter 1	US-021	Otter Wholesales	Created		No
000154	5/6/2024	Collection letter 1	Empower Field	Empower field Denver	Created		No
000155	5/6/2024	Collection letter 1	MWS-001	VMware Inc.	Created		No
000156	5/6/2024	Collection letter 1	USRT	USRT IC	Created		No
000157	5/6/2024	Collection letter 1	US-104	McConico1	Created		No

- Once collection letter posted, send and voucher button will be enabled.
- The voucher button will be enabled only when any posted collection letters have any fees posted.

Conclusion

By using D365 F&O, user can set up and manage collection letter efficiently.

Cheers

Hope this will help.